Academic Research Project- Not a Recommendation

Equity Research Report

Bharti Airtel Ltd.

(Driving Digital Connectivity)

About the Company

Bharti Airtel Limited (hereinafter referred to as "Bharti Airtel" or "the Company") was incorporated on July 7, 1995, and is headquartered in Gurugram, Haryana, India. Bharti Airtel is one of the world's leading telecommunications companies and India's largest integrated communications solutions provider. The Company serves over 650 million customers across 15 countries in India and Africa, with additional presence in Bangladesh and Sri Lanka through its associate entities. Its diversified portfolio includes 4G/5G mobile services, Wi-Fi (FTTH & FWA), Digital TV, Airtel Black, Airtel Payments Bank, enterprise connectivity, cloud & data centre services, cybersecurity, IoT solutions, AI-powered digital transformation services, and digital communication platforms.

Bharti Airtel is recognized among the leading telecom operators globally, with a strong market position in both India and Africa. The Company continues to strengthen its leadership through rapid 5G rollout, expanding fiber broadband services, improving Average Revenue Per User (ARPU), and growing enterprise digital solutions. It has consistently invested in network infrastructure, spectrum acquisition, cloud technologies, and digital innovation, enabling long-term sustainable growth and enhanced customer experience.

Overall View

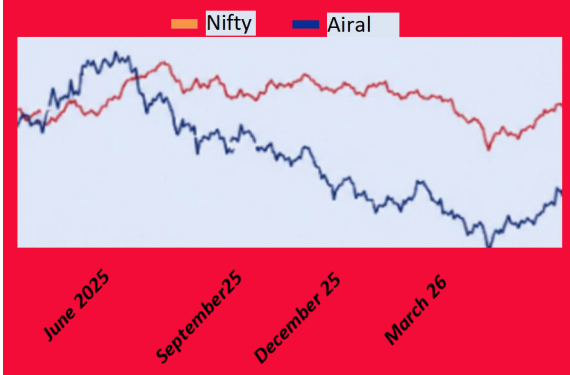
- **Healthy revenue growth** was driven by strong India mobile performance, supported by higher **ARPU**, continued **4G/5G subscriber additions**, and growth in digital services. Growth momentum is expected to continue, driven by **(1)** tariff hikes, **(2)** rising data consumption, **(3)** expansion of Airtel Business
- **Revenue growth was volume-led**, supported by a growing subscriber base, strong customer retention, and increasing demand for data and enterprise connectivity services.
- **Margins remained healthy**, supported by operating leverage and improved business mix, though continued investments in **5G infrastructure.**

- Bharti Airtel reported FY26 revenue of ₹210,973 Cr, registering 22.0% YoY growth, driven by strong mobile services, higher ARPU, and continued 5G adoption.
- Operating EBITDA stood at ₹122,492 Cr, with an EBITDA margin of 58.06%, reflecting strong operational efficiency and a healthy business mix.
- PAT came in at ₹33,823 Cr, while ROE improved to 19.36%, supported by sustained profitability and efficient capital utilization.

Recommendation	**: XXX**
CMP	**: 1,840**
Target Price	**: XXX**

Stock Data	
Nifty	: 24,370.85
52 weeks H/L (INR)	: 2,174/1,740
Market Cap (INR Cr.)	: 11,63.207.03
O/S shares	:6,094,393
Dividend Yield %	: 0.84%
NSE Code	: BHARTIARTL

Relative Stock Performance -



Absolute Return	
1 Year	**: 10.42%**
3 Years	**: 54.31%**
5 Years	**: 135.87%**

Shareholding pattern	
Promoters	**: 50.07%**
FIIs	**: 26.52%**
DIIs	**: 20.76%**
Government	**: 0.00%**
Public	**: 2.61%**

Financial Summary			
In INR Mm.	**FY26**	**FY27E**	**FY28E**
Net Revenue	2109728	2510424	2831078
Growth YOY%	*21.96%*	*18.99%*	*12.77%*
EBITDA	1224918	1343901	1515556
EBITDA %	*58.06%*	*53.53%*	*53.53%*
Adj PAT	338228	530956	622249
ROE %	19.36%	24.33%	23.36%
Adj EPS (INR)	60.95	95.68	112.3
EV/EBITDA(x)	10.70x	9.75x	8.65x

Prepared by – Kashish Kumari

Economic analysis

Global Economy

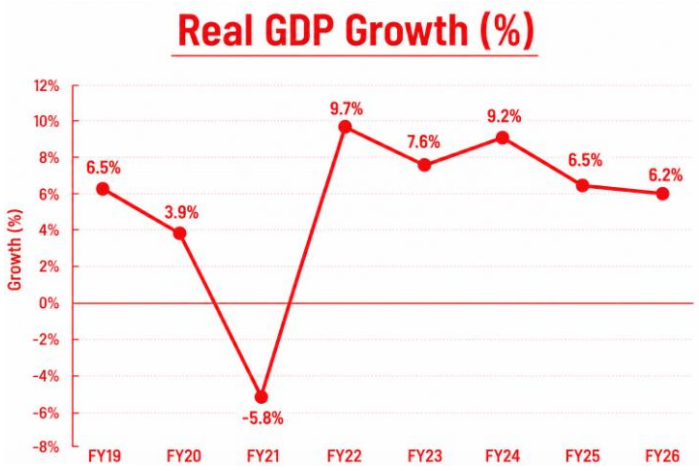
The global economy is expected to witness a **moderate slowdown**, with GDP growth easing from **3.5% in CY24 to 2.8% in CY25**, before improving slightly to **3.0% in CY26**. While **advanced economies** continue to face structural challenges such as elevated interest rates, ageing demographics and weak productivity, **emerging markets** remain the primary growth engine, supported by favourable demographics, infrastructure spending and digital transformation.

India is projected to remain the fastest-growing major economy, with GDP growth of **6.2% in CY25** and **6.0% in CY26**, significantly outperforming the global average of **2.8–3.0%**. This growth differential strengthens India's long-term consumption story, supports rising telecom data usage and creates a favourable demand environment for sectors linked to digital infrastructure.

However, **geopolitical tensions, global trade restrictions and inflationary pressures** continue to pose downside risks to economic activity. Companies with strong balance sheets, disciplined capital allocation and scalable digital infrastructure



Source:IMF



Source:IM



Source:IMF

Indian Economy

India continues to demonstrate **strong macroeconomic resilience**, remaining one of the world's fastest-growing major economies despite a moderation in growth. **Real GDP growth is projected at 6.5% in FY25 and 6.2% in FY26**, following an exceptional **9.2% expansion in FY24**, reflecting a transition towards a more sustainable growth trajectory. Robust domestic consumption, continued infrastructure spending, rapid digitalisation and supportive government reforms continue to underpin India's long-term economic outlook.

At the same time, **inflation has moderated from 5.4% in FY24 to 4.7% in FY25 and is expected to ease further to 4.2% in FY26**, moving closer to the RBI's medium-term target. This improving inflation environment has enabled the RBI to begin monetary policy easing, supporting liquidity, consumer spending and private sector investment while maintaining macroeconomic stability.

Although external risks such as global trade tensions, geopolitical uncertainties and volatile commodity prices remain, India's strong domestic demand, favourable demographics and accelerating digital transformation provide a solid foundation for sustained economic expansion. These structural strengths are expected to support corporate earnings growth, capital expenditure and long-term investment opportunities across sectors, particularly in digital infrastructure and telecommunications.

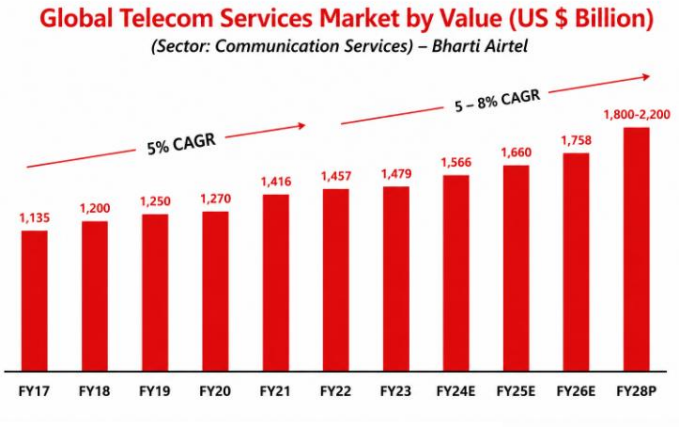
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Telecommunications Industry

Global Telecom Market

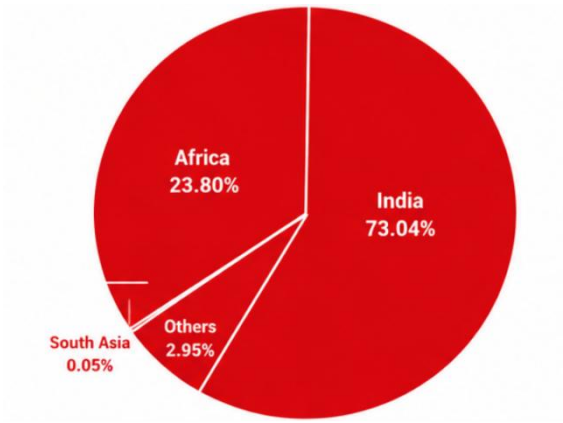
The **global telecommunication industry** continues to expand, driven by rising mobile data consumption, rapid 5G deployment, fibre network expansion and increasing digital connectivity. The global telecom services market, valued **at USD 1.76 trillion in FY26**, is projected to reach **USD 1.8–2.2 trillion** by FY28, reflecting a **5–8% CAGR.** Strong demand for high-speed broadband, enterprise connectivity, cloud services and digital infrastructure continues to support long-term industry growth.

Emerging markets, particularly India, remain the primary growth driver, accounting for 73.04% of the global telecom market in this analysis, while **Africa contributes 23.80%.** Increasing smartphone penetration, **digital payments, AI adoption** and government-led digital initiatives are accelerating telecom demand. Continued investments in 5G, fibre networks, data centres and enterprise solutions are expected to improve network quality, **enhance customer experience and strengthen long-term**



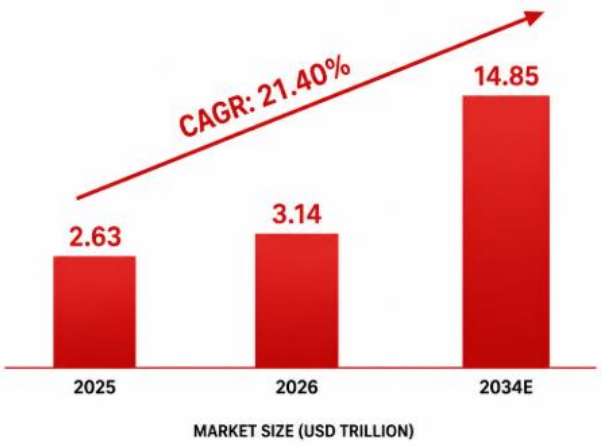
source: Bharti Airtel annual report

Segmentation of Global Telecom Market



source: Bharti Airtel annual report

Global Digital Transformation Market (USDTrillion



Source: Company Annual Report

The **digital transformation market** is expanding rapidly, supported by increasing enterprise technology adoption, cloud migration, AI implementation and next-generation connectivity. Rising investments in **5G infrastructure, fibre networks and digital platforms** are accelerating digital transformation across industries. This trend is expected to drive sustained demand for telecom services while creating long-term growth opportunities for integrated telecom operators such as Bharti Airtel.

Key Telecom Trends

The global **telecommunication industry** continues to evolve through rapid **5G deployment, fibre expansion, cloud adoption and AI-driven network management**. Telecom operators are increasingly investing in **digital infrastructure, edge computing and data centres** to enhance network capacity, improve customer experience and support rising data consumption. These investments are transforming telecom companies from traditional connectivity providers into integrated digital service platforms.

Growing smartphone penetration, enterprise digitalisation and increasing demand for high-speed broadband continue to accelerate telecom services globally. Emerging technologies such as **AI-powered network automation, Open RAN, IoT and private 5G networks** are improving operational efficiency while creating new revenue opportunities. At the same time, regulatory reforms, spectrum investments and sustainability initiatives remain key factors shaping the industry's long-term growth trajectory.

Indian Telecom Industry

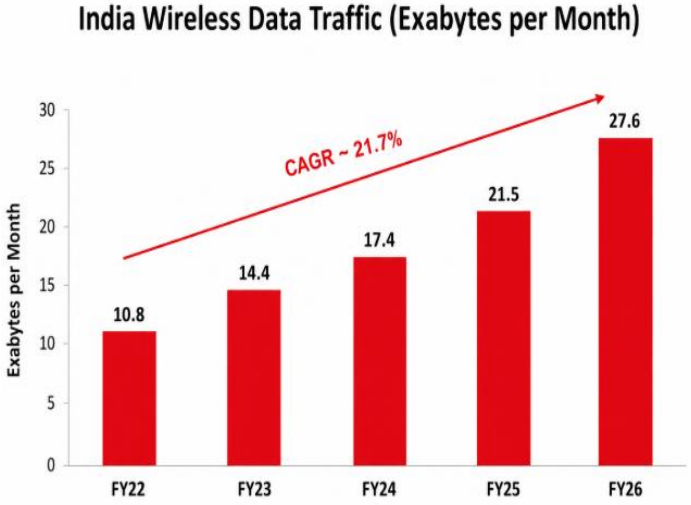
Industry Outlook

India has emerged as one of the world's fastest-growing telecom markets, supported by rising smartphone penetration, affordable data tariffs, rapid **4G/5G adoption** and government-led digital initiatives. The sector continues to benefit from strong domestic demand, expanding digital infrastructure and increasing internet usage, making it a key enabler of India's digital economy. Continuous investments in spectrum, fibre networks and data centres are further strengthening the industry's long-term growth potential.

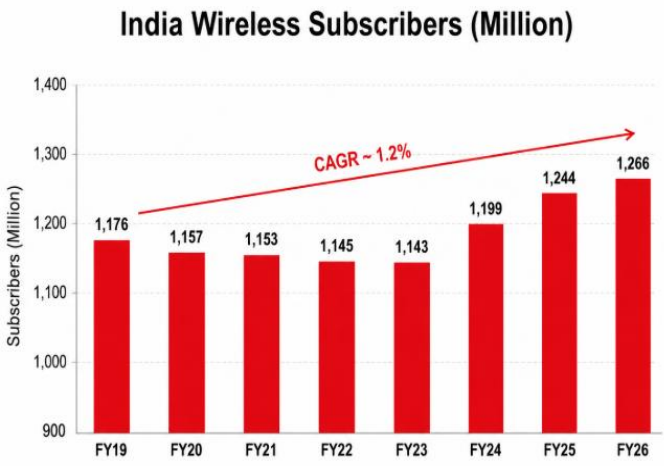
India's wireless data consumption continues to witness exceptional growth, with monthly data traffic increasing from **10.8 Exabytes in FY22 to 27.6 Exabytes in FY26**, reflecting a **21.7% CAGR**. This growth is driven by increasing video streaming, digital payments, cloud applications, online education and enterprise digitalisation. The rapid rollout of **5G services** is expected to further accelerate data usage while improving network quality and customer experience.

Despite a relatively stable subscriber base, India's wireless subscriber count is projected to increase from **1,199 million in FY24 to 1,286 million in FY26**, supported by rural penetration, migration to 4G/5G networks and rising digital adoption. Higher subscriber quality, premiumisation and increasing Average Revenue Per User (ARPU) are expected to contribute more meaningfully to revenue growth than subscriber additions alone.

Looking ahead, favourable government policies, expanding digital ecosystems, AI-enabled network optimisation and continued investments in next-generation telecom infrastructure are expected to sustain industry growth. These structural trends provide a strong long-term opportunity for telecom operators to improve profitability, enhance capital efficiency and create sustainable shareholder value.



source: Bharti Airtel annual report



Source: TRAI, IBEF

The Indian telecom industry is entering a structurally stronger growth phase, supported by increasing **5G adoption, higher smartphone penetration, fibre expansion and accelerating digital transformation**. With data consumption continuing to rise and enterprise demand shifting towards cloud, AI and IoT-enabled solutions, telecom operators are expected to witness sustained growth in both network utilisation and revenue generation.

Going forward, **ARPU expansion, premium subscriber additions and disciplined capital allocation** will remain the key profitability drivers. Continued investments in spectrum, digital infrastructure and network modernisation are expected to improve operational efficiency while strengthening long-term returns on invested capital. These structural trends position the sector favourably for sustainable earnings growth and long-term shareholder value creation.

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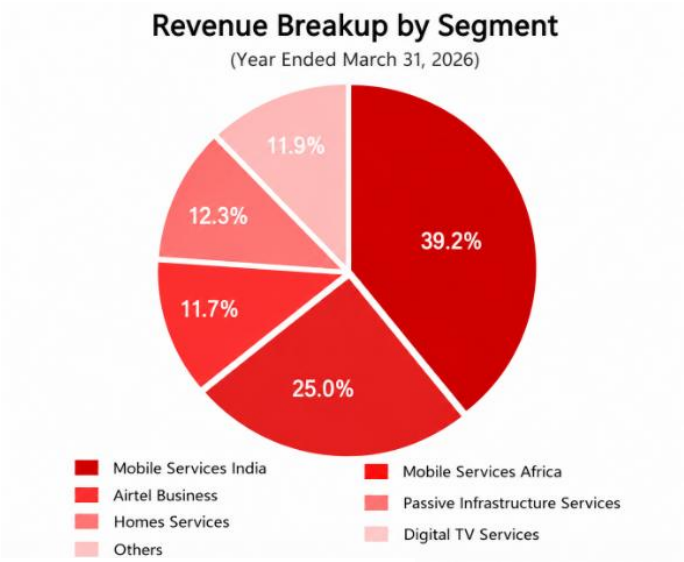
Earnings Call Analysis

Q4FY26

Bharti Airtel delivered another strong quarter in Q4 FY26, driven by robust execution across its **India Mobile, Homes, Airtel Business and Africa** segments. The company continued to benefit from **higher customer additions, rising ARPU, increasing data consumption and sustained demand for digital connectivity**, reinforcing its leadership in the telecom sector. Airtel's diversified business model and disciplined execution enabled it to maintain healthy revenue momentum while improving operating efficiency.

Operational performance remained resilient, supported by continued investments in **5G rollout, fibre expansion, spectrum deployment and digital infrastructure**. The company further strengthened its network leadership by expanding coverage, enhancing customer experience and accelerating the adoption of **AI-driven network optimisation**. These strategic investments are expected to improve network quality, increase operating leverage and support long-term earnings growth.**The India Mobile business remained the primary growth engine**, supported by continued smartphone additions, higher data usage and premiumisation of the subscriber base. At the same time, **Homes and Airtel Business** continued to deliver healthy growth through expanding fibre broadband, cloud connectivity, cybersecurity, IoT and managed services. The company's increasing focus on digital businesses and enterprise solutions is creating multiple long-term revenue streams beyond traditional telecom services.

Management also maintained a disciplined capital allocation strategy, balancing growth investments with balance-sheet strength and cash flow generation. Continued investments in **data centres, cloud platforms, AI capabilities and digital services** are expected to enhance profitability, improve return ratios and strengthen Airtel's competitive positioning. Backed by favourable industry fundamentals and rising digital adoption, the company remains well positioned to deliver **sustainable earnings growth and long-term shareholder value creation**.



source: Bharti Airtel annual report

Management Outlook

Management remains optimistic about Bharti Airtel's long-term growth, supported by continued **ARPU expansion, premiumisation, 5G adoption and fibre rollout**. The company expects sustained momentum across **Mobility, Homes, Airtel Business and Africa**, while investments in **data centres, Airtel Cloud, AI and digital services** are expected to create additional growth avenues.

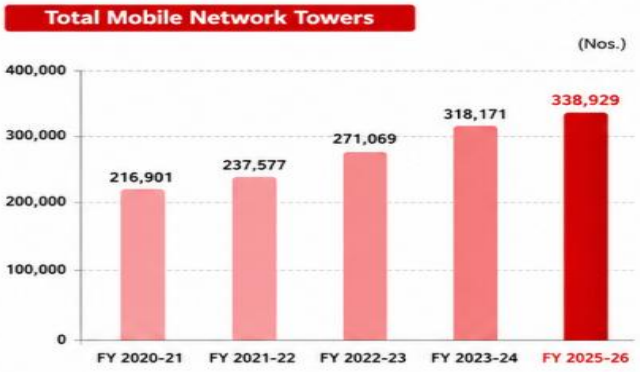
Airtel continues to focus on disciplined capital allocation and operational efficiency through its **"War on Waste"** programme. The company plans to strengthen its digital infrastructure by expanding fibre networks, enhancing 5G coverage and investing in next-generation technologies. Management believes these initiatives will improve customer experience, increase operating leverage and support sustainable margin expansion.

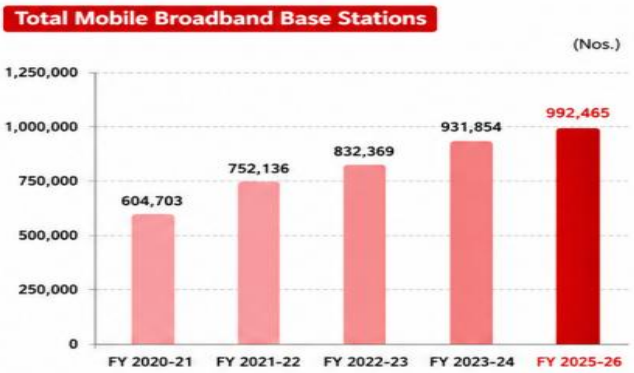
Looking ahead, Airtel remains well positioned to benefit from rising data consumption, enterprise digitalisation and increasing demand for cloud, cybersecurity and AI-enabled solutions. Backed by a strong balance sheet and healthy cash flow generation, the company aims to deliver consistent earnings growth, higher return ratios and long-term shareholder value creation

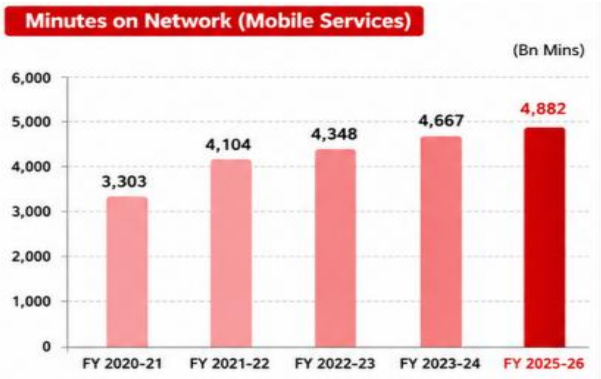
Network Infrastructure & Operational Highlights

19,858 New mobile network towers installed	**60,611** New mobile broadband base stations added	**44,390 Rkms** Optic fiber cable deployed
5,717 Bn Minutes on network (Gross)	**30,624 Bn MBs** Data traffic (Homes Services)	**81,257 Bn MBs** Data traffic (Mobile Services)
~₹686 Bn Spent on acquiring spectrum in auctions since FY 2020-21	**~7.2 Mn** Home passes rolled out in FY 2024-25	**14** Large data centres with ~14,700 usable racks/tile spaces
120+ Edge data centres with ~27,000 usable racks/tile spaces	**~133 MW** Design load in a large data centre	**~108 MW** Design load in an edge data centre

Bharti Airtel significantly strengthened its network infrastructure during **FY2024-25**, reinforcing its leadership in India's telecom sector through sustained investments in **5G deployment, fibre expansion and digital infrastructure**. The company added **19,858 mobile network towers**, taking the total to **338,929 towers**, while expanding its mobile broadband base stations to **992,465**, substantially improving network capacity, coverage and service quality. These investments have strengthened Airtel's competitive positioning and created a scalable platform to support future subscriber growth and rising data consumption.To enhance digital connectivity, Airtel deployed **60,611 new mobile broadband base stations** and laid **44,390 route kilometres of optical fibre**, expanding high-speed network availability across urban and rural markets. The company also accelerated investments in digital infrastructure by operating **14 large data centres**, **120+ edge data centres** and **133 network operation centres**, supporting enterprise cloud adoption, AI workloads and low-latency digital services. These assets are expected to enhance operational efficiency while creating long-term revenue opportunities.

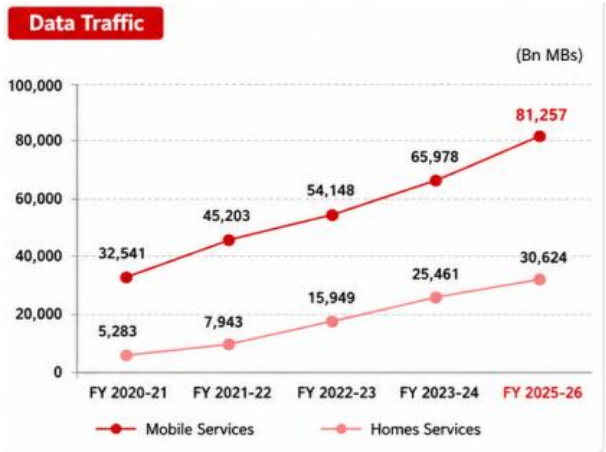






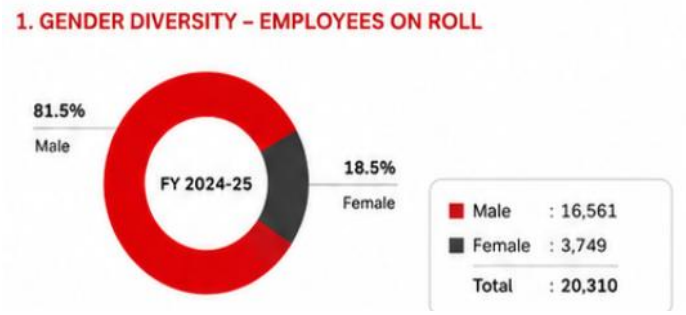
Key Operational Highlights

- **Network Expansion:** Added **19,858 mobile towers**, taking the total network to **338,929 towers**.
- **Broadband Infrastructure:** Installed **60,611 mobile broadband base stations**, increasing the total to **992,465**.
- **Fibre Rollout:** Deployed **44,390 route km of optical fibre** to strengthen nationwide connectivity.
- **Data Traffic:** Mobile Services data traffic increased to **81,257 Bn MBs**, while Homes Services reached **30,624 Bn MBs**.
- **Voice Usage:** Network carried **4,882 billion minutes** of voice traffic, reflecting strong customer engagement.

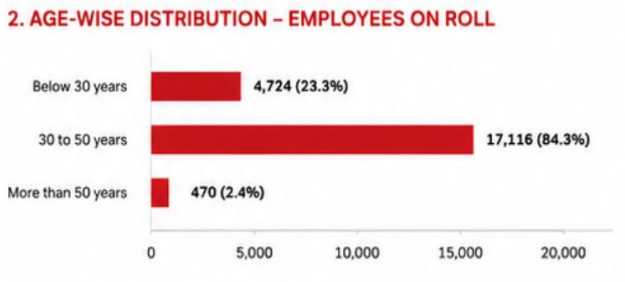


source: Bharti Airtel annual report

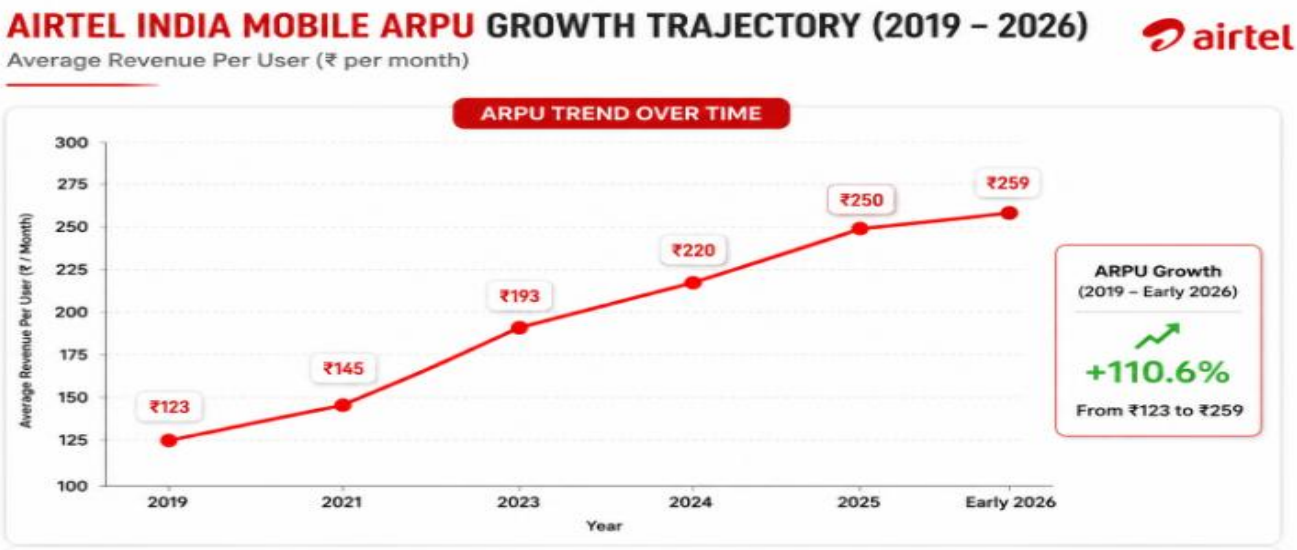
Business Outlook



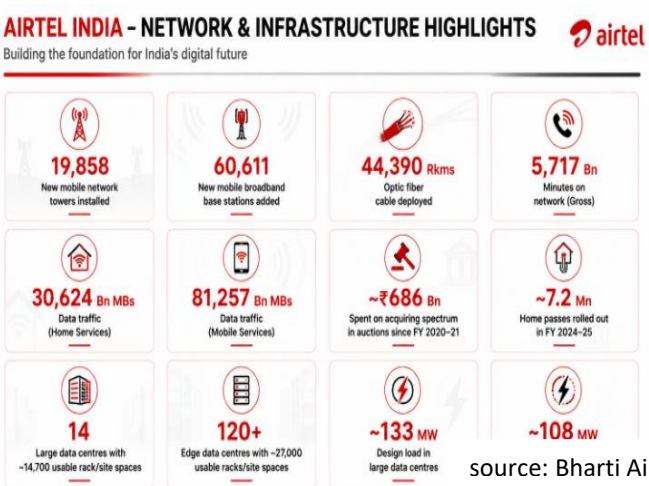
source: Bharti Airtel annual report

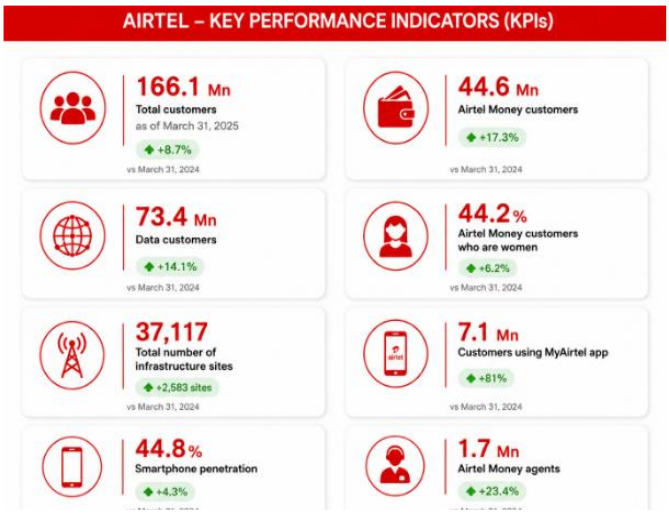


source: Bharti Airtel annual report



source: Bharti Airtel annual report





source: Bharti Airtel annual report

C



Leadership Analysis

Board Of Directors



Mr. Sunil Bharti Mittal

Chairman – Bharti Airtel Limited

- Founder and Chairman of **Bharti Enterprises**, established in **1976**.
- Leads businesses across **Telecom, Digital Infrastructure, Financial Services and Space Communications**.
- Built **Bharti Airtel** into one of the world's leading telecom companies with operations in **India and Africa**.
- Recipient of the **Padma Bhushan** and **Honorary Knight Commander (KBE)** for contributions to business and society.



Mr. Gopal Vittal

Executive Vice Chairman – Bharti Airtel Limited

- **Alumnus of Madras Christian College; MBA from IIM Calcutta.**
- Over **30 years' experience** in telecom, sales, marketing and general management.
- Former leader at **Unilever**, with leadership roles across India, Thailand, Indonesia and China.
- Led **Airtel's digital transformation**, driving growth across Mobile, B2B, Home Broadband, DTH and Digital Services.



Mr. Shashwat Sharma

Managing Director & CEO (Airtel India)

- **Post Graduate in Management from IIM Ahmedabad; Bachelor of Engineering from Delhi College of Engineering.**
- Over **25 years' experience** in telecom, sales, marketing and business operations.
- Previously served as **CEO Designate, Chief Operating Officer**, and Head of Airtel's Consumer Business.
- Former leader at **Hindustan Unilever Limited** with 13 years of experience across Sales, Marketing and General Management.



Justice (Retd.) Arjan Kumar Sikri

Independent Director – Bharti Airtel Limited

- **LL.M. from Delhi University; awarded Honorary Doctorate (LLD) by Dr. Ram Manohar Lohia National Law University.**
- Over **45 years' experience** in the legal and judicial profession.
- Former **Judge of the Supreme Court of India** and currently an **International Judge** at the Singapore International Commercial Court.
- Expert in **Commercial Law, Arbitration, Corporate Governance and Regulatory Affairs**.

Leadership Analysis



Mr. Dinesh Kumar Khara

Independent Director

- Nearly **40 years of experience** in banking and financial services.
- Former **Chairman of State Bank of India (SBI)** (2020–2024).
- Previously served as **Managing Director** overseeing Global Banking, Corporate Banking and SBI subsidiaries.
- Played a key role in the **merger of SBI Associate Banks and Bhartiya Mahila Bank**.
- Holds an **MBA from FMS, New Delhi** and a postgraduate degree from **Delhi School of Economics**.
- Expertise in **Banking, Risk Management, Technology and Corporate Governance**.



Mr. Douglas Anderson Baillie

Independent Director

- Around **38 years of leadership experience** at **Unilever**.
- Former **CEO of Hindustan Unilever Limited (HUL)** and **Chief Human Resources Officer** of Unilever.
- Held senior leadership roles across **Europe, South Asia, Africa and the Middle East**.
- Currently serves as **Trustee of the Leverhulme Trust Board** and **Non-Executive Director of Huhtamaki Group**.
- Graduate from the **University of Natal, South Africa**, with specialization in Business Finance, Marketing and Business



Ms. Kimsuka Narasimhan

Independent Director

- Over **30 years of experience** in Finance, Risk Management and Strategy.
- Held leadership roles at **Unilever, PepsiCo and Kimberly-Clark**.
- Served on the Boards of several listed and not-for-profit organisations.
- Member of **ICAI** and **ICMAI**, with a **B.Com** degree from the University of Madras.
- Gold Medalist at **ICAI** and a University Rank Holder.
- Expertise in **Finance, Risk Management, Corporate Governance and Strategy**.



Ms. Nisaba Godrej

Independent Director

- Executive Chairperson of **Godrej Consumer Products Limited (GCPL)**.
- Has led GCPL's **strategy and business transformation** for nearly two decades.
- Serves on the Boards of **Bharti Airtel, Godrej Industries, Godrej Agrovet and Mahindra & Mahindra**.
- Holds a **B.Sc. from The Wharton School, University of Pennsylvania**, and an **MBA from Harvard Business School**.



Mr. Shyamal Mukherjee

Independent Director

- Former **Chairman and Senior Partner of PwC India**.
- Over **40 years of experience** in Taxation, Corporate Governance and Business Advisory.
- Advised several multinational **telecom companies** on regulatory, tax and M&A matters.
- Played a key role in strengthening **innovation, governance and diversity** at PwC India.
- Holds **B.Com and LL.B.** degrees from the **University of Delhi** and is a **Chartered Accountant**.

Key Managerial Personnel



Ms. Chua Sock Koong

Non-Executive Director

- Former **Group CEO of Singapore Telecommunications (Singtel)**.
- Over **30 years of experience** in telecommunications and corporate leadership.
- Serves on the Boards of **Bharti Airtel, Prudential plc and Royal Philips**.
- Holds a **Bachelor of Accountancy (First Class Honours)** from the University of Singapore.
- **Fellow Chartered Accountant** and **CFA Charterholder**.



Mr. Tao Yih Arthur Lang

Non-Executive Director

- **Group Chief Financial Officer (CFO)** of **Singtel**.
- Extensive experience in **Finance, Investment Banking and Capital Management**.
- Former **Group CFO of CapitaLand** and senior executive at **Morgan Stanley**.
- Serves on the Boards of **Bharti Airtel, AIS, GXS Bank and Singapore Tourism Board**.
- Holds an **MBA from Harvard Business School** and a **BA in Economics from Harvard University**.



Mr. Rajan Bharti Mittal

Non-Executive Director

- **Vice-Chairman of Bharti Enterprises** with extensive leadership experience.
- Also serves as **Managing Director of Bharti Realty Limited**.
- Member of the Boards of **Bharti Airtel** and **Indus Towers**.
- Active member of several **global business and policy forums**, including the World Economic Forum (WEF).
- Alumnus of **Harvard Business School** and graduate of **Panjab University**.
- Expertise in **Business Strategy, Corporate Governance and Telecommunications**.

Leadership Analysis

Commentary

Bharti Airtel Limited is led by an experienced and globally diverse Board of Directors with expertise across **telecommunications, banking, finance, technology, consumer goods, and corporate governance**. The leadership is headed by **Mr. Sunil Bharti Mittal (Chairman)**, whose strategic vision has transformed Airtel into one of the world's leading telecommunications companies. Supporting the Board are **Mr. Gopal Vittal (Executive Vice Chairman)** and **Mr. Shashwat Sharma (Managing Director & CEO – Airtel India)**, who drive the company's business growth, digital transformation, customer experience, and operational excellence.

The Board is further strengthened by highly accomplished Independent and Non-Executive Directors, including **Mr. Dinesh Kumar Khara, Mr. Douglas Anderson Baillie, Ms. Kimsuka Narasimhan, Ms. Nisaba Godrej, Mr. Shyamal Mukherjee, Ms. Chua Sock Koong, Mr. Tao Yih Arthur Lang, and Mr. Rajan Bharti Mittal**. Their collective experience spans **banking, finance, risk management, telecommunications, human resources, business strategy, sustainability, and corporate governance**, enabling the Company to make informed strategic decisions while maintaining effective oversight.Bharti Airtel's governance framework is reinforced through specialised Board Committees such as the **Audit Committee, HR & Nomination Committee, Risk Management Committee, ESG Committee, CSR Committee, and Stakeholders' Relationship Committee**. These committees ensure **financial transparency, regulatory compliance, enterprise risk management, sustainability, ethical governance, and shareholder protection**. The leadership's extensive industry experience, strong governance practices, and focus on innovation position Bharti Airtel for **sustainable growth, operational excellence, and long-term value creation**.

Shareholding Pattern

	Mar 24	June 24	Sep 24	Dec 24	Mar 25	June 25	Sep 25	Mar 26	June 26
Promoters	53.48%	53.17%	53.14%	53.12%	52.42%	51.26%	50.27%	48.87%	50.07%
FIIs	24.45%	24.62%	25.07%	24.27%	25.41%	26.72%	27.42%	27.79%	26.51%
DIIs	19.20%	19.13%	18.69%	19.53%	19.23%	19.09%	19.40%	20.53%	20.64%
Government	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%	0.12%
Public	2.80%	2.89%	2.89%	2.91%	2.75%	2.74%	2.72%	2.63%	2.62%
Others	0.05%	0.06%	0.07%	0.07%	0.07%	0.07%	0.05%	0.004%	0.04%

Source: BSE

Commentary

Bharti Airtel's shareholding pattern reflects a healthy and professionally balanced ownership structure. Although promoter holding has witnessed a gradual decline over the period, it continues to remain above 50%, ensuring strong promoter control and long-term strategic commitment. The steady increase in FII ownership reflects growing confidence from global institutional investors in the Company's business fundamentals, digital growth strategy, and future earnings potential. DII holding has remained largely stable, demonstrating consistent support from domestic institutions, while public shareholding has remained relatively low, indicating a predominantly institutional investor base. Overall, the ownership structure appears diversified, financially stable, and well-positioned to support sustainable long-term value creation with strong corporate governance and investor confidence.

Financial Statement Analysis

Quarterly Income Statement Snapshot

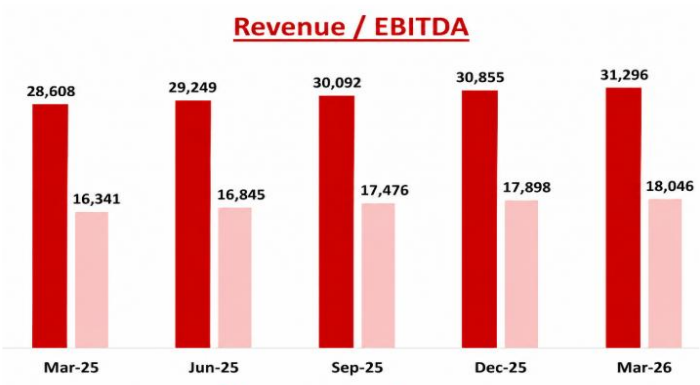
Particulars	Mar-15	June-25	Sep-25	Dec-25	Mar-26
Sales	28,608	29,249	30,092	30,855	31,296
% Growth QoQ	*0.61%*	*2.2%*	*2.9%*	*2.5%*	*1.4%*
Expenses	12,267	12,404	12,617	12,957	13,251
EBITDA	**16,341**	**16,845**	**17,476**	**17,898**	**18,046**
EBITDA Margins (%)	*57.1%*	*57.6%*	*58.1%*	*58.0%*	*57.7%*
Other Income	230	332	1,079	269	(2,349)
Interest	3,669	3,835	3,854	3,815	4,075
Depreciation	8,216	8,279	8,623	8,859	8,810
Profit before tax	**4,686**	**5,063**	**6,078**	**5,493**	**2,812**
% Growth Y-O-Y	*7.5%*	*8.0%*	*20.0%*	*9.6%*	*48.8%*
Tax	(4,639)	5,063	1,520	1,428	1,462
Net profit	**9,318**	**3,764**	**4,545**	**4,091**	**1,444**
Net profit Margins (%)	*32.6%*	*12.9%*	*15.1%*	*13.3%*	*4.3%*
% Growth Y-O-Y	*60.4%*	*59.6%*	*20.7%*	*10.0%*	*67.1%*

Source: BSE

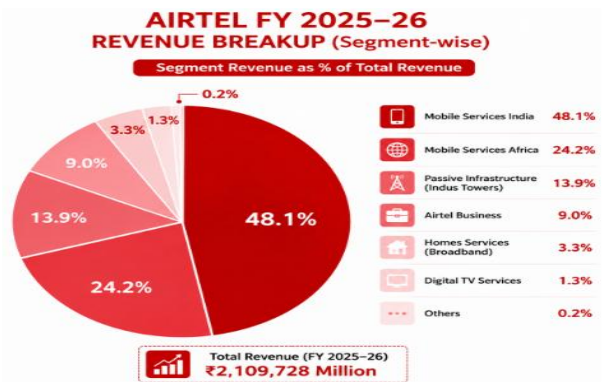
Commentary

Bharti Airtel delivered a strong operating performance over the last five quarters, supported by steady subscriber additions, tariff hikes and increasing data consumption. Revenue from operations increased from **₹28,608 Cr in Mar'25** to **₹31,296 Cr in Mar'26**, while **EBITDA improved to ₹18,046 Cr**, maintaining a healthy **57.7% EBITDA margin**. This reflects the company's strong operational efficiency and disciplined cost management despite continued investments in network expansion.

Although **Net Profit declined to ₹1,446 Cr** in Mar'26 due to higher depreciation, finance costs and exceptional items, Airtel's core business fundamentals remain robust. Continued investments in **5G rollout, broadband expansion and digital infrastructure** are expected to support future earnings growth. Overall, the company's strong cash-generating ability, improving operating leverage and market leadership position it well for sustainable long-term growth.



Source:CompanyQuarterly Data



Source: Airtel Q1 FY26 Quarterly Report

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Financial Statement Analysis

Yearly Income Statement Snapshot

Particulars	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Sales	62,276	53,663	49,606	54,317	64,326	70,795	84,720	94,120	1,08,944	1,21,493
% Growth YOY	*-13%*	*-14%*	*8%*	*9%*	*18%*	*10%*	*20%*	*11%*	*16%*	*12%*
Expenses	509	515	718	902	916	1,357	1,721	2,108	2,546	2,909
Gross Margin %	*62%*	*67%*	*75%*	*63%*	*56%*	*51%*	*48%*	*47%*	*52%*	*42%*
EBITDA	**23,925**	**17,865**	**12,476**	**20,259**	**27,984**	**34,701**	**43,799**	**50,122**	**52,593**	**51,229**
EBITDA Margins (%)	*38%*	*33%*	*25%*	*37%*	*45%*	*49%*	*52%*	*53%*	*48%*	*57%*
Other Income	-14,977	414	5,248	-39,425	-12,998	-1,406	-1,643	508	13,022	-6699
Interest	5,255	5,911	7,848	11,463	11,817	13,221	14,532	14,405	15,240	15,579
Depreciation	12,203	13,049	15,120	20,392	21,998	24,330	26,355	29,109	32,522	34,571
Profit before tax	**-8,510**	**-681**	**-5,244**	**-51,021**	**-18,465**	**-4,256**	**1,269**	**7,116**	**17,864**	**19,446**
Tax	1,416	-760	-3,375	-14,933	6,732	-392	1,359	2,128	-5,637	5,701
Net Profit	**-9,926**	**79**	**-1,869**	**-36,088**	**-25,198**	**-392**	**1,359**	**2,128**	**-5,637**	**5,701**
Net profit Margin %	*-16%*	*0.5%*	*-4%*	*-66*	*-39%*	*-5%*	*0.7%*	*5%*	*22%*	*11%*

Source: BSE

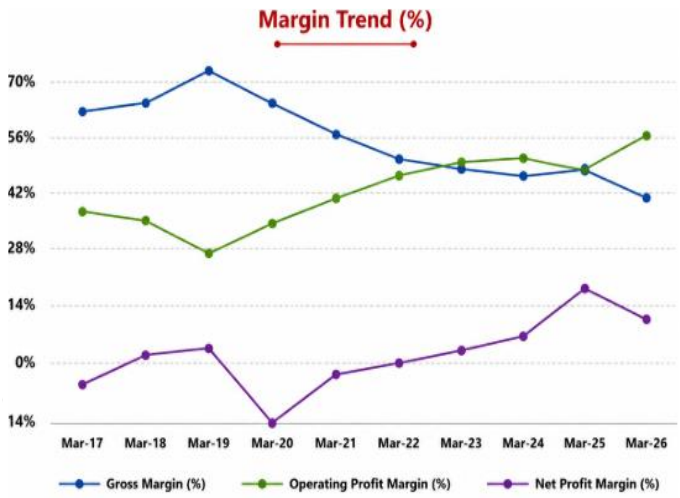
Commentary

Bharti Airtel has demonstrated a remarkable financial transformation over the past decade, supported by consistent revenue expansion, improving operating efficiency and disciplined capital allocation. Revenue increased from **₹62,273 Cr in FY17** to **₹1,31,493 Cr in FY26**, reflecting a healthy **~8.7% CAGR**, while EBITDA more than doubled from **₹23,925 Cr** to **₹52,593 Cr**. The steady improvement in **EBITDA margin from 38% in FY17 to 57.7% in FY26** highlights the company's ability to enhance profitability through operating leverage, premiumisation and effective cost optimisation.

Although profitability remained volatile during **FY19–FY22** due to elevated depreciation, finance costs and industry-wide investments, Airtel successfully restored earnings momentum. **Net Profit improved to ₹5,701 Cr in FY26**, supported by tariff hikes, rising ARPU, accelerating 5G adoption and sustained growth in Home Broadband and Enterprise businesses.

Business Segment Revenue Contribution (FY26)

1. India Mobile Services: 48.1%
2. Africa Mobile Services: 24.2%
3. Passive Infrastructure (Indus Towers): 13.9%
4. Airtel Business: 9.0%
5. Homes (Broadband): 3.3%
6. Digital TV Services: 1.3%



Source:CompanyAnalysis

Compared to its telecom peers, **Bharti Airtel** has consistently demonstrated strong operational execution and disciplined cost management. The company's **EBITDA margin expanded from 38.0% in FY17 to 57.7% in FY26**, highlighting significant improvement in operating efficiency and profitability. Supported

Financial Statement Analysis

Balance Sheet Snapshot

	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Equity Share Capital	2,746	2,1795	2,837	2,877	2,900	3,047
Reserves	74,614	72,076	76,157	97,985	1,37,231	1,57,488
Borrowings	1,30,407	1,29,905	1,81,696	1,69,299	1,61,457	1,44,138
Other Liabilities	69,980	66,465	74,888	81,652	90,890	95,313
Total Liabilities	**2,77,747**	**2,71,241**	**3,35,577**	**3,52,813**	**3,92,479**	**3,99,986**
Fixed Assets	1,57,388	1,63,736	1,87,409	2,21,717	2,34,288	2,28,376
Capital Work in Progress	1,306	3,386	40,556	12,012	5,258	6,698
Investments	52,273	57,393	60,913	60,444	64,581	62,821
Other Assets	66,779	57,393	60,913	60,444	64,581	62,821
Total Assets	**2,77,747**	**2,71,241**	**3,35,577**	**3,51,813**	**3,92,479**	**3,99,986**

Source: BSE

Fixed Asset Analysis

	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Revenue	64,326	70,795	84,720	94,119	108,944	121,493
Gross Block	2,061,412	2,253,815	2,455,160	2,598,094	3,143,838	3,175,276
Accumulated Depreciation	1,203,366	1,348,090	1,502,919	1531,973	1,711,,114	1,78,225
Net Fixed Asset	**858,046**	**905,725**	**952,241**	**1,066,121**	**1432,729**	**1447,051**
Change in Revenue	10,009	6,469	13,925	9,400	14,842	12,548
Change in Gross Block	35,080	192,403	201,345	142,934	545,744	31,438
Change in Revenue/Change in Gross Block	**0.29x**	**0.03x**	**0.07x**	**0.7x**	**0.03x**	**0.4x**

Source: BSE

Commentary

Over FY21–FY26, **Bharti Airtel** has consistently strengthened its asset base while delivering steady revenue growth. Revenue increased from **₹64,326 Mn to ₹121,493 Mn**, whereas **Gross Block** expanded from **₹2,061,412 Mn to ₹3,175,276 Mn**, reflecting continuous investments in network infrastructure and capacity expansion. Despite higher depreciation, **Net Fixed Assets** increased from **₹858,046 Mn to ₹1,447,051 Mn**, indicating that fresh capital expenditure has remained well above depreciation and continues to enhance the company's long-term operating capability.The company maintained positive revenue growth alongside rising capital investments, highlighting efficient utilization of its fixed assets. Although the **Change in Revenue / Change in Gross Block** ratio varied across the years due to different investment cycles, the improvement to **0.40x in FY26** suggests that recent investments are generating stronger incremental revenue. Overall, Airtel's fixed asset profile reflects a disciplined capital allocation strategy with a clear focus on sustainable growth and long-term value creation.

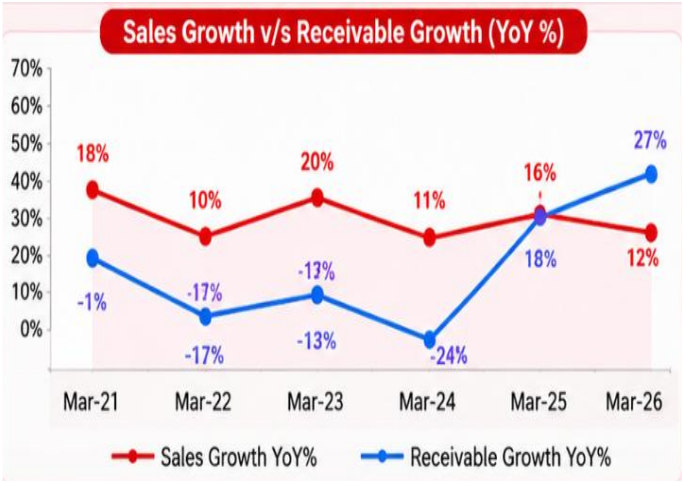
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Financial Statement Analysis

Trade Receivables Analysis

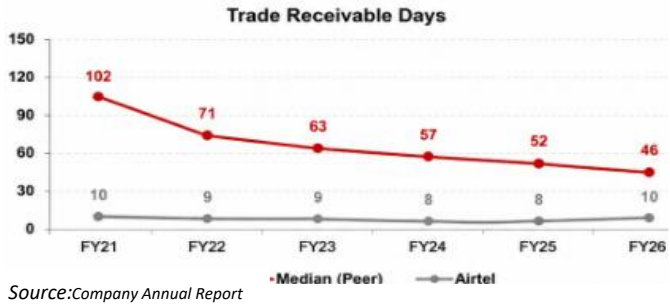
Particulars	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Sales	64,326	70,795	84,720	94,119	108,944	121,493
Sales Growth YOY%	*18%*	*10%*	*20%*	*11%*	*16%*	*12%*
Trade receivables	3,810	3,176	2,772	2,116	2,500	3,172
Receivable Growth (YoY %)	*-1%*	*-17%*	*-13%*	*-24%*	*-18%*	*-27%*
Receivables as % of Revenue	6%	4%	3%	2%	2%	3%
Receivable Days	22	26	12	8	8	10
Receivable turnover	17x	22x	31x	44x	44x	38x

Source: Company Annual Report



Source: Company Annual Report

Peer Analysis – Receivable Days (FY21 – FY26)



Source:Company Annual Report

Commentary

Over the past five years, **Bharti Airtel has demonstrated strong working capital discipline**, maintaining healthy revenue growth while effectively managing its trade receivables. Revenue increased from **₹70,795 crore in FY22 to ₹1,21,493 crore in FY26**, representing a strong business expansion. During the same period, **trade receivables remained well controlled**, highlighting the company's disciplined credit policy and efficient collection mechanism despite a significantly larger customer base.

The company's **receivable days improved materially**, reducing from **26 days in FY22 to 10 days in FY26**, reflecting faster collection cycles and improved cash conversion. Additionally, **receivables as a percentage of revenue declined from 4% to 3%**, indicating that revenue growth has consistently outpaced receivable growth. This demonstrates Airtel's ability to scale operations without materially increasing working capital requirements.

While **sales recorded double-digit growth in most years**, receivable growth remained relatively moderate and even declined in certain periods, suggesting that management has maintained strict control over outstanding collections. Such disciplined receivable management enhances liquidity, lowers funding requirements and supports stronger operating cash flows, which is particularly important for a capital-intensive telecom business.

Peer Analysis

Peers	Mar 2024	Mar 2025	Mar 2026
Tata Communication	65	63	61
Bharti Hexacom	23	5	4
Tata Tele. Mah.	48	40	30
MTNL	234	293	126
Median	57	52	46
Airtel	8	8	10

Source:Company Annual Report

Overall, Airtel's receivable management remains a key financial strength. The combination of strong revenue growth, low receivable days and efficient cash collection supports healthy working capital management, strengthens free cash flow generation and enhances the company's long-term ability to create shareholder value.

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Financial Statement Analysis

Cash Flow Statement

Particulars	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Operating Activity					
Profit from Operations	**34,392**	**36,754**	**43,583**	**53,209**	**62,336**
Receivables	169	374	-619	-1,210	-232
Inventory	-11	-2	0	0	0
Payables	1,472	-1,103	809	-192	1,184
Other WC Items	560	78	1,366	1,332	1,989
Working Capital Changes	**2,189**	**-653**	**1,557**	**-70**	**2,940**
Direct Taxes	0	-189	338	534	364
Other Operating Items	0	0	0	0	0
Advance tax	334	0	0	0	0
Cash from Operating Act.	**36,754**	**43,583**	**53,209**	**62,336**	**74,931**
Investing Activity					
Fixed Assets Purchased	-34,859	-24,769	-26,661	-24,876	-26,812
Fixed Assets Sold	1,094	83	111	722	410
Investments purchased	-9	-2,549	-23	-48	-6,347
Investments sold	3,120	0	2,870	971	9
Interest received	138	118	764	311	225
Dividends Received	45	1,518	52	140	377
Invest in subsidiaries	0	0	-14,458	-2,430	-1,384
Loans to subsidiaries	-5,605	-4,791	-2,012	-2,350	225
Investment in group cos	0	0	-30	-879	0
Acquisition of Companies	-2,654	-1,183	0	0	0
Other Investing Items	5,560	1,567	-9,931	-9,931	-7,989
Cash from Investing Act.	**-33,170**	**-30,006**	**-34,877**	**-41,453**	**-41,286**
Financing Activity					
Proceeds from Shares	5,223	5,224	1	1	15,696
Proceeds from Borrowings	17,144	5,738	1,765	3,444	3,919
Repayment of Borrowings	-11,139	-13,762	-4,030	-2,783	-24,164
Interest Paid	-10,443	-3,488	-9,981	-11,440	-8,098
Dividends Paid	-90	-1,763	-2,276	-4,632	-9,280
Financial Liabilities	-4,984	-4,450	-4,662	-5,344	-5,424
Other Financing Items	0	0	0	0	0
Cash from Financing Act.	**-4,289**	**-12,500**	**-19,184**	**-20,755**	**-27,350**
Net Cash Flow	**-704**	**1,076**	**-852**	**128**	**6,295**
EBITDA	**34,700**	**43,799**	**50,122**	**52,593**	**70,264**
CFO/EBITDA	**105%**	**100%**	**105%**	**118%**	**106%**

Source: BSE

Commentary

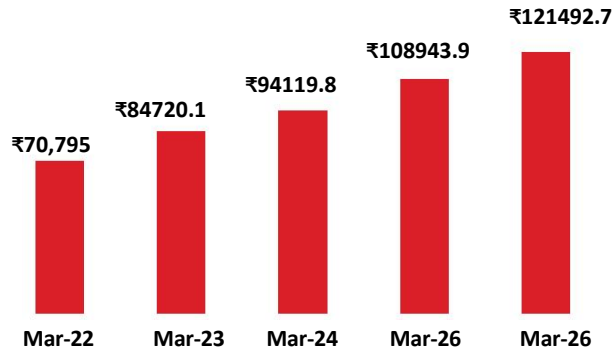
Over the past five years, Mastek's cash flow from operations (CFO) has shown volatility despite a steady rise in EBITDA, signaling underlying inefficiencies. In FY21 and FY22, CFO was healthy at ₹287 Cr and ₹273 Cr, but it dropped sharply to ₹108 Cr in FY23 due to a significant rise in working capital requirements (₹262 Cr outflow). Though EBITDA improved to ₹455.85 Cr that year, the CFO/EBITDA ratio fell to just 23.69%, highlighting weak cash conversion. While FY24 and FY25 saw recovery in CFO to ₹420 Cr and ₹395 Cr, the five-year trend suggests inconsistent cash flow generation, largely driven by fluctuating working capital and not core profitability.

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Financial Statement Analysis

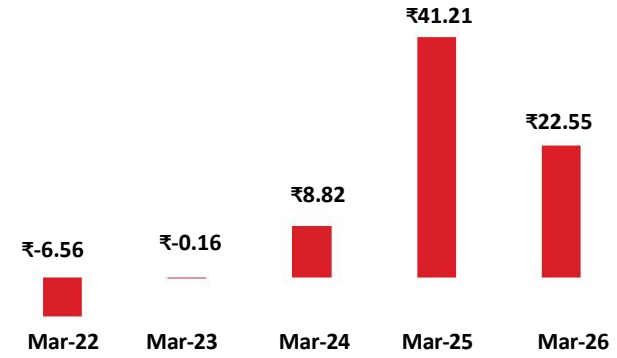
Financial Summary

Revenue From Operations (in ₹ Cr.)



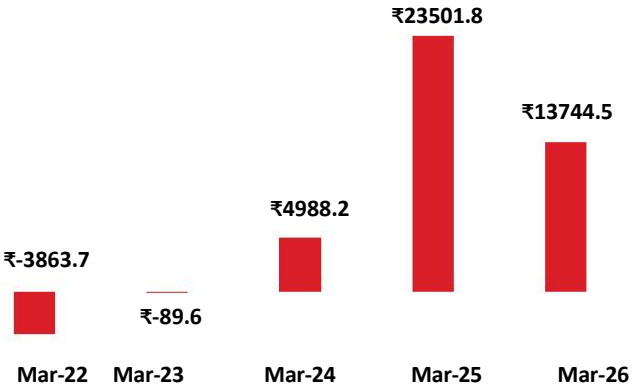
Source: Company Annual Report

EPS (in ₹)



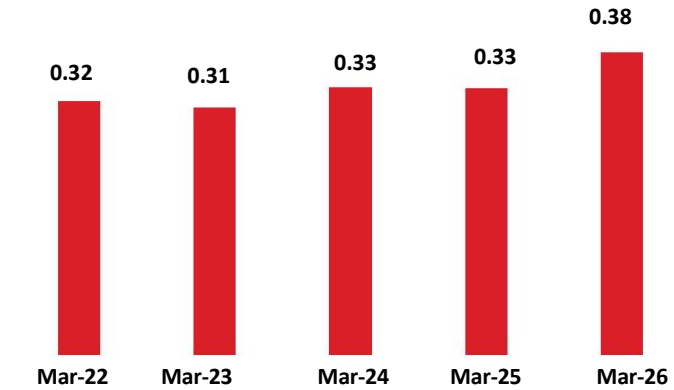
Source: Company Annual Report

Net Profit (in ₹ Cr.)



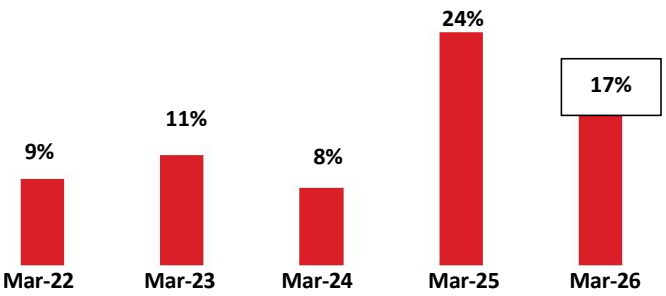
Source: Company Annual Report

Asset Turnover Ratio



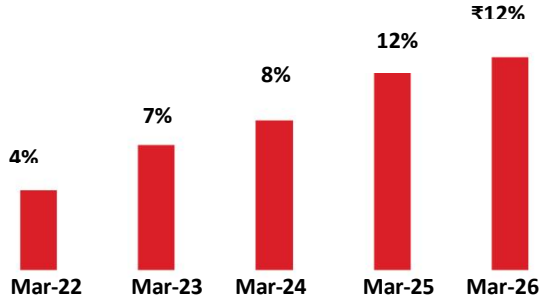
Source: Company Annual Report

Return on Equity



Source: Company Annual Report

Return On Capital



Source: Company Annual Report

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Financial Statement Analysis

DU PONT Analysis

Return on Equity	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	**-25,197.60**	**-3,863.70**	**-89.60**	**4,988.20**	**23,501.80**	**13,744.50**
Revenue	64,325.90	70,795.00	84,720.10	94,119.80	108,943.90	121,492.70
Net Profit Margin (A)	**-66.44%**	-5.5%	-0.1%	5.3%	21.6%	11.3%
Revenue	64,325.90	70,795.00	84,720.10	94,119.80	108,943.90	121,492.70
Average Total Assets	351,754.0	352,812.0	402,882.0	443,288.0	473,512.5	528,579.0
Asset Turnover Ratio (B)	**0.15**	**0.18**	**0.18**	**0.19**	**0.20**	**0.21**
Average Total Assets	351,754.0	352,812.0	402,882.0	443,288.0	473,512.5	528,579.0
Average Shareholders Equity	89,394.7	76,115.3	76,932.0	89,927.7	120,496.5	150,333.0
Equity Multiplier (C)	**3.93**	**4.64**	**5.24**	**4.93**	**3.93**	**3.52**
Return On Equity (A*B*C)	**-40.36**	**-33.10**	**-5.02**	**-0.09**	**4.13**	**15.63**

Source: *Company Annual Report*

Peer Analysis

	Net Profit Margin (A)	Asset Turnover Ratio (B)	Equity Multiplier (C)	Return On Equity (A*B*C)
Tata Communication	0.04	0.87	8.24	0.28
Bharti Hexacom	0.18	0.48	3.24	0.29
Tata Teleservices (Maharashtra)	-0.18	0.86	-0.06	0.01
MTNL	-3.2	0.09	-0.33	0.10
Average	-0.80	0.57	2.77	0.17
Median	-0.07	0.67	1.58	0.19
Airtel	11.3	O.21	3.52	15.63

Source: *Company Annual Report*

Commentary

Bharti Airtel's Return on Equity (ROE) improved significantly over the analysis period, recovering from negative levels in FY21–FY24 to 15.63% in FY26, primarily driven by a sharp turnaround in profitability. The recovery was led by a substantial improvement in Net Profit Margin, which expanded from -66.44% in FY21 to 21.57% in FY26, reflecting stronger operating performance, tariff hikes, operating leverage, and disciplined cost management. Despite this improvement, Airtel's ROE remains below the peer median of 19%, indicating that there is still scope to enhance shareholder returns.

Operational efficiency remained stable throughout the period, with the Asset Turnover Ratio gradually improving from 0.15x to 0.21x, supported by consistent revenue growth despite continued investments in network infrastructure and digital businesses. Meanwhile, the Equity Multiplier declined from 5.24x to 3.52x, indicating a gradual reduction in financial leverage and a stronger equity base. While lower leverage slightly moderates ROE expansion, it also strengthens the balance sheet and reduces financial risk, improving the company's long-term financial resilience.

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Financial Statement Analysis

Capital Allocation Ratios

Return on Capital Employed

	Mar-22	Mar-23	Mar-24	Mar-54	Mar-26
NOPAT	16,377	25,783	26,081	38,700	50,222
Revenue	70,795	84,720	94,120	108,944	121,493
NOPAT Margin (A)	23.1%	30.4%	27.7%	35.5%	41.3%
Revenue	70,795	84,720	94,120	108,944	121,493
Average Capital Employed	228,985	269,908	300,597	312,463	335,892
Capital Turnover Ratio (B)	0.31	0.31	0.31	0.35	0.36
Return On Capital Employed (A*B)	7.2%	9.6%	8.7%	12.4%	15.0%

Source: Company Annual Report

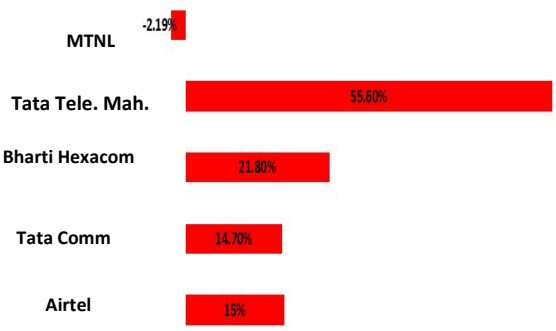
Return On Assets

	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Profit	-3,864	-90	4,988	23,502	13,745
Revenue	70,795	84,720	94,120	108,944	121,493
Net Profit Margin (A)	-5.5%	-0.1%	5.3%	21.6%	11.3%
Revenue	70,795	84,720	94,120	108,944	121,493
Average Total Assets	352,812.0	402,882.0	443,288.0	473,512.5	528,579.0
Asset Turnover Ratio (B)	**0.18**	**0.18**	**0.19**	**0.20**	**0.21**
Return On Assets (A*B)	-1.1%	0.0%	1.1%	5.0%	2.6%

Source: Company Annual Report

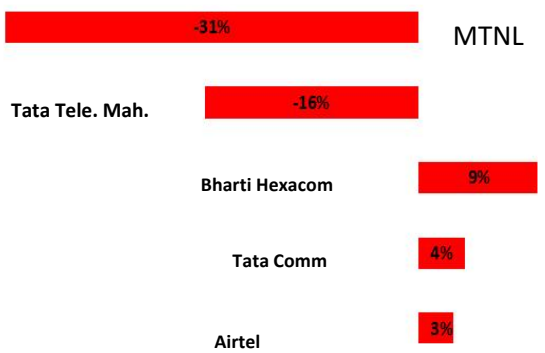
Peer Analysis

Return On Capital Employed



Source: Company Annual Report

Return On Assets



Source: Company Annual Report

Financial Statement Analysis

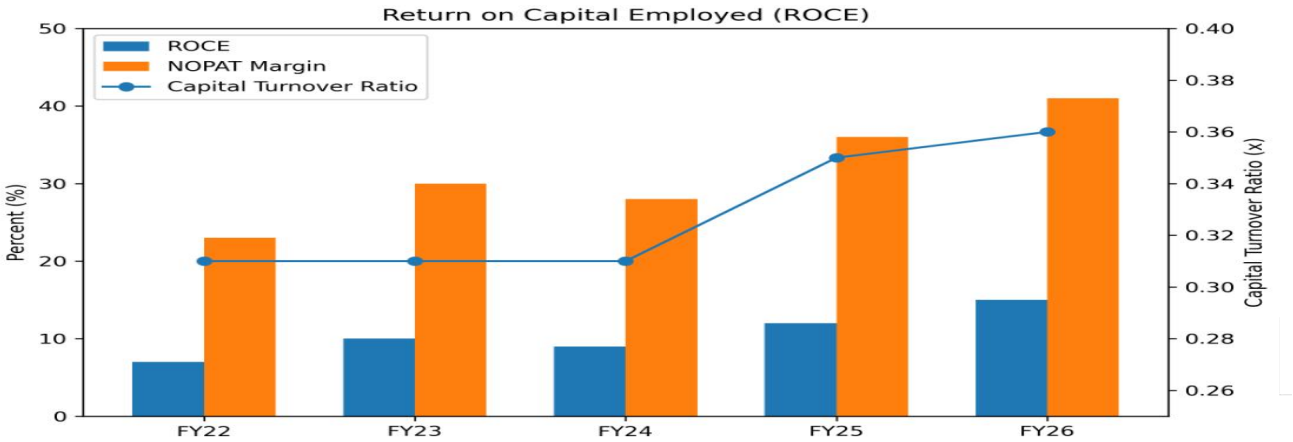
CapitalAllocationRatios

Commentary

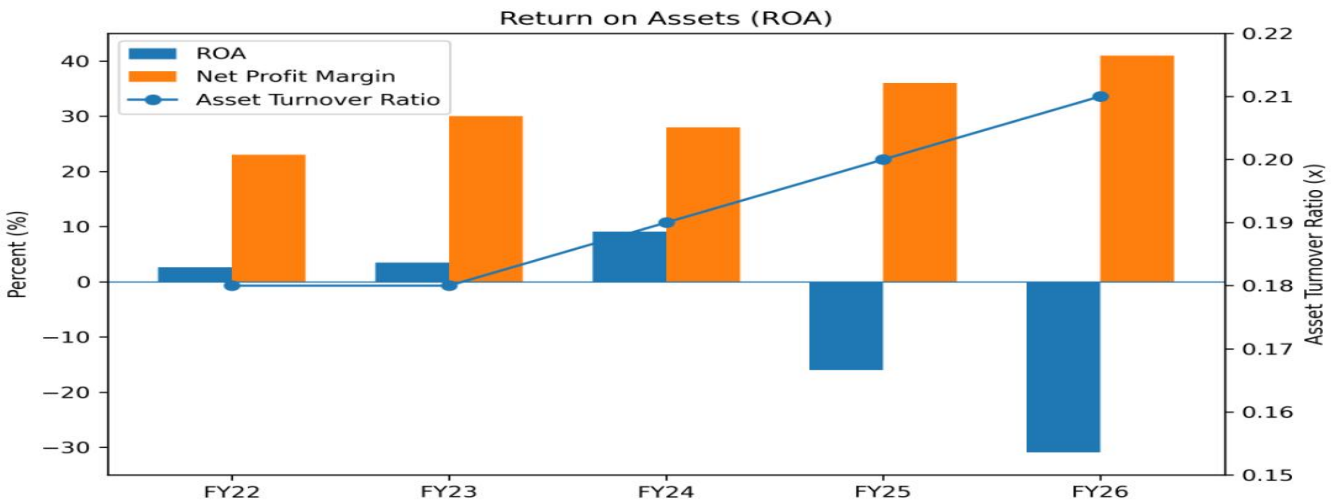
Bharti Airtel's ROCE has improved steadily from 7% in FY22 to 15% in FY26, reflecting stronger capital efficiency. The improvement has been primarily driven by a significant expansion in **NOPAT Margin from 23% to 41%**, while the **Capital Turnover Ratio remained broadly stable at 0.31x–0.36x**. This indicates that higher returns have been driven more by profitability improvements than by asset utilisation.

ROA has also strengthened over the period, supported by expanding operating margins and stable asset productivity. While asset turnover has shown only a marginal improvement, stronger earnings generation has enhanced the company's ability to generate returns from its asset base.

Going forward, Airtel should focus on improving asset utilisation and monetising its ongoing 5G and digital infrastructure investments. Sustained margin discipline and faster revenue growth will be critical to further expanding both **ROCE and ROA** while delivering higher shareholder value.



Source: *Company Annual Report*



Source: *Company Annual Report*

Academic Research Project- Not a Recommendation

Financial Statement Analysis

Capital Allocation Ratios

Return on Incremental Invested Capital

	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net income	-25,197.60	16,377	25,783	26,081	38,700	50,222
Capital Employed	207,767.50	204,775.50	260,689.70	270,161.00	301,588.50	304673

Commentary

Over the last five years, **Bharti Airtel has generated a Return on Incremental Invested Capital (ROIIC) of ~16.8%**, indicating that the company has been able to earn healthy returns on every additional rupee deployed into the business. With **cumulative net income of ~₹1.67 lakh crore** against **incremental capital employed of ~₹9.95 lakh crore**, Airtel has maintained disciplined capital allocation while continuing to invest aggressively in network expansion, spectrum, data centres and digital infrastructure. A **reinvestment rate of ~92%** further reflects management's long-term growth focus, as the majority of internally generated earnings are being redeployed to strengthen future earnings capacity rather than distributed.

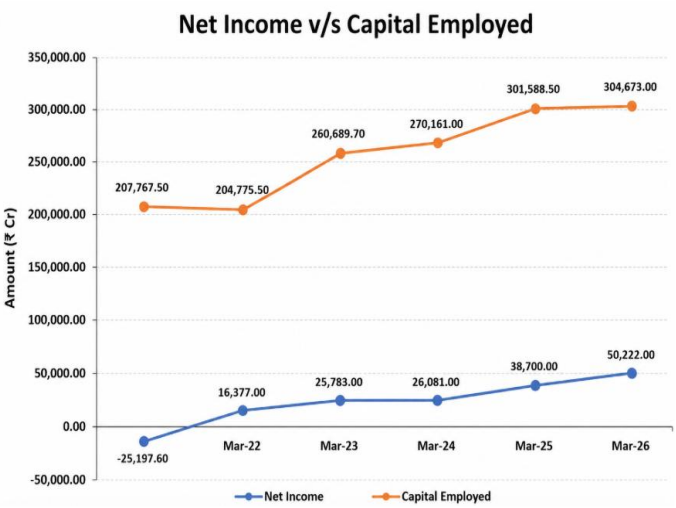
However, the **Net Income vs. Capital Employed** trend suggests that capital employed has expanded at a faster pace than reported earnings, particularly after FY22. This indicates that a significant portion of recent investments is still in the monetisation phase. Given Airtel's continued investments in **5G rollout, fibre infrastructure, enterprise solutions and digital platforms**, earnings are expected to catch up as utilisation improves and operating leverage strengthens. Sustained improvement in asset productivity will be the key driver of higher ROIIC over the coming years.

The company's **5-year stock price CAGR of ~29%** indicates that the market has already recognised Airtel's long-term growth potential and execution capability. Going forward, maintaining these valuations will depend on management's ability to convert the expanding capital base into stronger free cash flows, higher profitability and improving return ratios.

Overall, Airtel's healthy ROIIC and high reinvestment rate reflect a quality capital allocation framework. The next phase of value creation will depend less on incremental investment and more on efficient monetisation of the existing asset base, leading to sustained earnings growth

ROIIC Profiling	
Cumulative Net Income (A)	157,163.00 Cr
Incremental Capital Deployed (B)	99,897.50 Cr
Reinvestment Rate (B/A)	**63.56%**
	33,845.00 Cr
Change in Net Income (C)	
ROIIC (C/B)	33.88%
Intrinsic Compounding Rate	**21.54%**
*(Reinvestment rate * ROIIC)*	
Stock Price (5 Year CAGR)	**23.96%**

Source: Company Annual Report



Source: Company Annual Report

Qualitative Analysis

- **Extensive Global Reach**

SWOT Analysis

Strengths

Market Leadership

Bharti Airtel is one of India's leading telecom operators with a strong presence across Mobile, Broadband, Enterprise and Digital Services, supported by a large subscriber base and nationwide network coverage.

Diversified Business Portfolio

The company generates revenue from India Mobile, Homes, Airtel Business, Africa, Data Centres and Digital Services, reducing dependence on a single business segment and strengthening revenue stability.

Strong Network Infrastructure

Airtel continues to invest in 5G, fibre networks, spectrum and digital infrastructure, enhancing network quality, customer experience and long-term competitive advantage.

Strong Brand & Customer Loyalty

A trusted brand, premium customer base and improving ARPU enable Airtel to maintain strong customer retention and pricing power in the telecom industry.

Digital Ecosystem

Weaknesses

Capital Intensive Business

Continuous investments in spectrum acquisition, 5G rollout and fibre expansion require significant capital expenditure, increasing funding requirements.

High Debt Levels

Large investments in network infrastructure and spectrum have resulted in relatively higher borrowings, increasing interest obligations**.**

Dependence on Domestic Market

A significant share of revenue is generated from the Indian telecom market, exposing the company to domestic regulatory and competitive ris**ks.**

Regulatory Dependence

Changes in spectrum pricing, AGR policies, licence fees and government regulations may impact profitability and future investment decisions.

Qualitative Analysis

SWOT Analysis

Opportunities

5G Monetisation

Increasing adoption of 5G services is expected to drive higher ARPU, premium customer acquisition and new digital revenue streams.

Enterprise Digital Services

Growing demand for Cloud, Cybersecurity, IoT, Data Centres and AI-enabled solutions presents significant long-term growth opportunities for Airtel Business.

Broadband & Fibre Expansion

Low broadband penetration and increasing demand for high-speed internet provide substantial growth potential for Airtel Homes and fibre services.

Digital Financial Services

Expansion of Airtel Finance, digital payments and fintech offerings can strengthen customer engagement while creating additional revenue opportunities.

Rising Data Consumption

Increasing smartphone penetration, video streaming and digital transformation are expected to support sustained growth in mobile data traffic and telecom services.

Threats

Intense Industry Competition

Aggressive competition from telecom operators may lead to pricing pressure, higher customer acquisition costs and slower margin expansion.

Regulatory & Spectrum Risks

Changes in telecom regulations, spectrum auctions and government policies may increase operating costs and capital requirements.

Cybersecurity Risks

Growing digital adoption increases exposure to cyber threats, data privacy concerns and network security challenges.

Rapid Technological Changes

Continuous evolution in 5G, AI, Cloud and digital technologies requires sustained investments to remain technologically competitive.

Macroeconomic & Interest Rate Risks

Inflation, higher interest rates and economic slowdown could impact consume.

Peer Analysis

airtel
Bharti Airtel Limited

PRICE ACTION

CONNECTING PEOPLE A BRIGHTER TOMORROW

Parameters	Range
Volume Traded	1,83,813 Lacs
Current Price	1,852.60
Face Value	5
Previous Value	1,840.00
Open Price	1,845.00
Today's low/high	1,842.00-1,853.50
52 week low/high	1,740.50-2,174.50

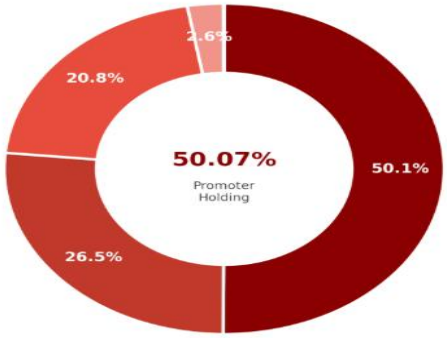
Source: NSE

1 Year Stock Performance Comparison



Bharti Airtel's 1-year price movement indicates a period of strong upward momentum followed by a sharp correction. The stock subsequently recovered from lower levels and formed a gradual upward trend. Recent price action shows consolidation with mild profit-booking. The ₹1,750–1,800 zone acts as an important support area, while ₹2,000–2,100 represents a key resistance zone. Sustained movement above resistance may indicate renewed bullish momentum, whereas a break below support could signal further downside pressure.

Shareholding Pattern



Shareholder Category	% Holding
Promoters & Promoter Group	50.07%
FIIs / FPIs (Foreign Institutions)	26.48%
Domestic Institutions (incl. Mutual Funds)	20.76%
Public – Non-Institutions (Retail & Others)	2.64%
Non-Promoter, Non-Public (Employee Trust)	0.05%

2. Major Shareholders

Parameter	Details	% Holding
Total Promoter & Promoter Group Holding	Bharti Telecom Ltd., Pastel Ltd., Indian Continent Investment Ltd. & others	50.07%
Pledged Promoter Holdings	Nil – no promoter shares pledged / encumbered	0.00%
Mutual Funds Holding	49 schemes incl. ICICI Prudential, HDFC, UTI, SBI	11.85%
FIIs / FPIs Holding	1,703+ Category I & II Foreign Portfolio Investors	26.48%
Highest Promoter Holding (single entity)	Bharti Telecom Limited	39.51%
Highest Public Shareholder (single entity)	LIC New Pension Plus Secured Fund	4.14%

3. Shareholding Comparison – Year-wise Trend (Jun-2022 to Jun-2026)

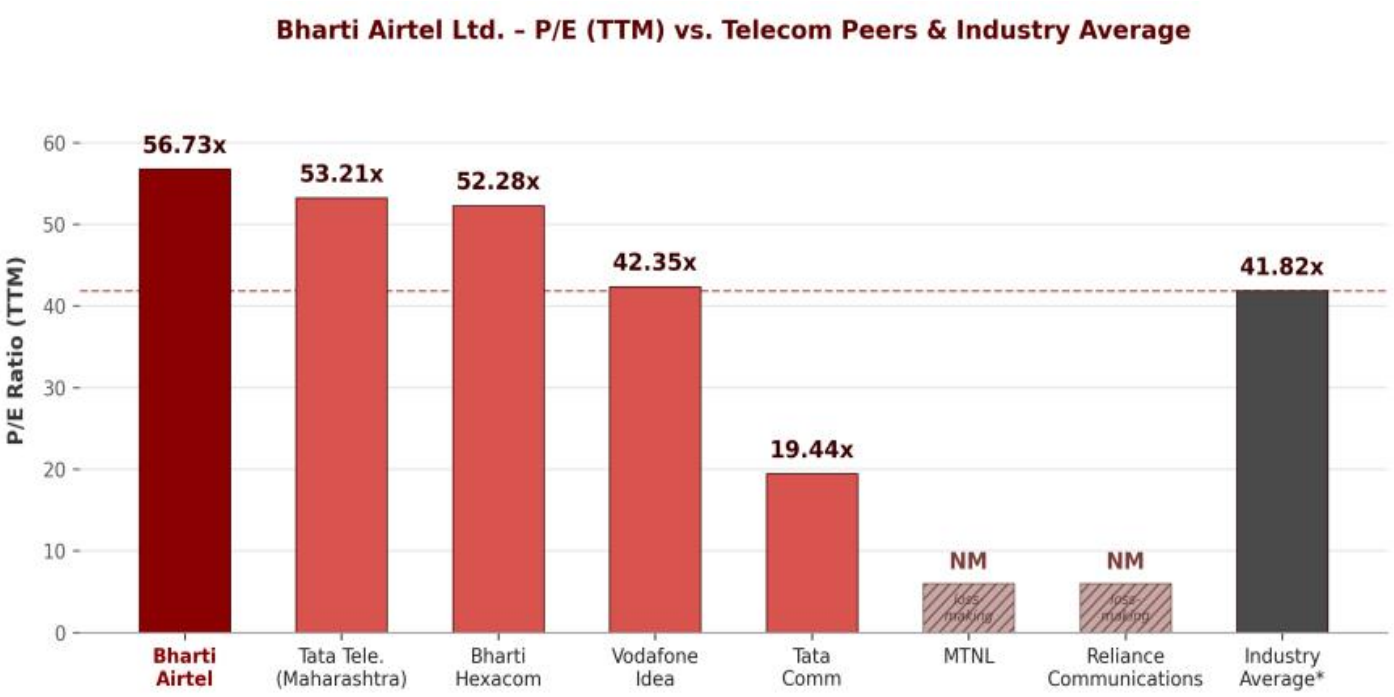
Category	Jun-22	Jun-23	Jun-24	Jun-25	Jun-26
Promoters & Promoter Group	55.93%	54.97%	53.17%	51.25%	50.07%
FIIs / FPIs	18.54%	21.48%	24.62%	26.72%	26.48%
Domestic Institutions (DIIs)	20.22%	19.66%	19.25%	19.21%	20.76%
of which: Mutual Funds	12.15%	11.06%	11.01%	11.10%	11.85%
Public - Non-Institutions	5.31%	3.88%	2.95%	2.82%	2.64%

Source: BSE

4. Key Observations & Commentary

- **Structural promoter dilution, governance intact —** Promoter holding has declined from 55.93% (Jun-22) to 50.07% (Jun-26), largely due to Singtel-linked entities (Pastel Ltd., Viridian Ltd.) and ICIL monetising stake via block deals, even as Bharti Telecom Ltd.'s own holding has risen (35.85% → 39.51%). Zero promoter pledging has been maintained throughout, removing any leverage-stress overhang.
- **FII re-rating reflects improving earnings confidence —** FII/FPI ownership has risen ~794 bps (18.54% → 26.48%) over four years, tracking Airtel's ARPU-led premiumisation, 5G monetisation and the Africa turnaround. The mild QoQ moderation from Mar-26 (27.80%) likely reflects profit-booking rather than a structural reversal.
- **DII holding bottoms out and recovers —** Domestic institutional holding troughed near 19.2% through FY24–FY25 before rebounding to 20.76% in Jun-26 (+155 bps YoY), consistent with insurance/pension-fund accumulation as Airtel's index weight has grown.
- **Mutual fund conviction rebuilding —** MF holding recovered to 11.85% in Jun-26 after sliding to ~11.0% through FY24, coinciding with strong reported earnings (~37% YoY net profit growth, Q1 FY27) and continued ARPU expansion.
- **Retail float shrinking sharply —** Public non-institutional holding has nearly halved (5.31% → 2.64%) over four years, typical of a stock re-rating toward institutional ownership as price appreciation gradually prices out smaller investors.
- **High promoter concentration —** Bharti Telecom alone represents ~79% of total promoter holding (39.51% of 50.07%), confirming control remains firmly with the founding Mittal family group despite gradual Singtel-linked dilution.

P/E (TTM) Analysis



Source: NSE

P/E Analysis

Bharti Airtel currently trades at a trailing twelve-month (TTM) P/E of **56.73x**, a significant premium of roughly 36% over the industry average of 41.82x across its listed telecom peer set. It also trades above every individual peer shown — Tata Teleservices (Maharashtra) at 53.21x, Bharti Hexacom at **52.28x**, Vodafone Idea at **42.35x**, and Tata Communications at 19.44x. MTNL and Reliance Communications post negative earnings and are therefore not meaningfully comparable on a P/E basis. This premium indicates the market is pricing in continued strength in Bharti Airtel's core franchise: steady ARPU (average revenue per user) growth, an expanding 4G/5G subscriber base, resilient enterprise and digital revenue streams, and improving free cash flow as capital intensity moderates. Trading meaningfully above even profitable, well-regarded peers like Bharti Hexacom and Tata Communications suggests investors continue to reward Airtel as the sector's highest-quality, most consistent earner.

Valuation risk: A P/E this far above the peer average leaves comparatively little margin for disappointment. The multiple is sensitive to regulatory developments (AGR dues, spectrum costs), competitive tariff dynamics with Reliance Jio and a resurgent Vodafone Idea, and the pace of ARPU-led earnings growth. Any slowdown in earnings momentum, a fresh tariff war, or an adverse regulatory ruling could compress the multiple toward peer or industry-average levels, making the stock more richly valued — and more exposed to a de-rating — than the rest of the sector.

Peer Comparison

S. No.	Name	CMP Rs.	Debt / Eq	PEG Ratio	Cash Position	OPM %	EV Rs.Cr.	Prom. Hold. %
1	Bharti Airtel	1932.1	1.31	0.86	30376.8	56.73	1370673	50.07
2	Bharti Hexacom	1573.2	0.86	0.94	60.6	52.28	84737	70
3	Tata Comm	1874.2	3.55	-3.33	695.34	19.44	64971	58.86
4	Tata Tele. Mah.	40.71	-	-	15.63	53.21	28812	74.36
5	M T N L	28.95	-	-	775.89	-14.82	36493	56.25
6	Vodafone Idea	14.15	-	-	5731	42.35	340102	25.64
7	Reliance Communi	0.88	-	-	440	-60.83	47015	0.77
	Median	**40.71**	**1.31**	**0.86**	**695.34**	**42.35**	**64971**	**56.25**

Source: BSE

COMPARE VALUATIONS WITH PEERS

Company	P/E	EV / EBITDA	PEG ratio
Bharti Airtel Ltd.	42.81	7.82	1.21
Reliance Jio Infocomm Ltd.	28.47	6.91	0.89
Vodafone Idea Ltd.	-	11.56	-
Bharat Sanchar Nigam Ltd. (BSNL)	-	-	-
Tata Communications Ltd.	34.26	9.18	1.02
Indus Towers Ltd.	49.15	12.64	1.48
NCC Ltd.	32.67	10.23	1.11

Source: NSE and Company's Annual Report
Note: Data as per latest available financials (TTM/FY26). "-" indicates not meaningful/not available.

Peer Valuation – Key Insights

- **Airtel demonstrates strong operating efficiency**, with an OPM of **56.73%**, significantly above the peer median of **42.35%**, indicating superior profitability from core operations.
- **Leverage remains moderate**, with Debt/Equity of **1.31x**, exactly in line with the peer median, suggesting a relatively balanced capital structure.
- Airtel's **PEG ratio of 0.86x**, equal to the peer median, indicates that its valuation is broadly aligned with its expected earnings-growth profile.
- With a **cash position of ₹3,076.8 Cr**, Airtel maintains a stronger liquidity position than the peer median of **₹695.34 Cr**, providing greater financial flexibility.
- **Promoter holding of 50.07%** is below the peer median of **56.25%**, but remains substantial and indicates meaningful promoter ownership.

Overall: Airtel stands out for its **strong operating margins, healthy liquidity and balanced leverage**, while its valuation metrics remain broadly consistent with the peer group.

Consensus Analysis

Analyst Coverage

Date	Author	LTP	Target	Rating
May 17, 2026	ICICI Direct Research	1905	2,350	Buy
15th May 2026	Axis Securities	1,834	2,200	Buy
22-May 2026	Sharekhan Ltd	2,095	2,370	Buy
23 Jun 2026	Geojit BNP Paribas	1912.90	2180.00	Buy
07 Feb 2026	Motilal Oswal	1912.90	2355.00	Buy

Source: Market research by Author

Author's Opinion

Bharti Airtel has established itself as one of India's strongest telecom companies through **disciplined capital allocation, continuous network expansion and a diversified digital ecosystem**. The company's sustained investments in **5G, fibre infrastructure, data centres, cloud services and enterprise solutions** have strengthened its competitive position while creating multiple long-term growth drivers. Airtel's strategy of focusing on premium customers, improving ARPU and expanding digital services provides a strong foundation for sustainable revenue growth.

From a financial perspective, Airtel has demonstrated **consistent improvement in revenue, EBITDA and operating cash flows**, supported by rising data consumption and increasing customer premiumisation. Although the telecom business remains capital intensive and requires significant investments in spectrum and network infrastructure, the company has maintained a balanced approach towards growth and financial discipline. Improving working capital efficiency and healthy cash flow generation further strengthen Airtel's long-term financial position.

The telecom industry is entering a new growth cycle driven by **5G monetisation, enterprise digitalisation, AI adoption and increasing broadband penetration**. Airtel is well positioned to capitalise on these structural opportunities through its leadership in network quality, expanding digital infrastructure and strong enterprise capabilities. Continued investments in **Airtel Business, Nxtra Data Centres, cloud connectivity and digital platforms** are expected to diversify earnings and support long-term value creation.While challenges such as intense industry competition, regulatory changes and high capital expenditure requirements remain, Airtel's strong brand, diversified business portfolio and disciplined execution provide confidence in its long-term growth prospects. Going forward, the company's ability to improve **ARPU, generate higher returns on invested capital and monetise its expanding digital ecosystem** will be the key drivers of sustainable shareholder value.

Overall, Bharti Airtel represents a fundamentally strong business with resilient cash flow generation, improving profitability and attractive long-term growth potential. Backed by favourable industry dynamics and consistent execution, the company is well positioned to deliver sustainable earnings growth and create long-term value for shareholders. Bharti Airtel has established itself as one of India's strongest telecom companies through **disciplined capital allocation, continuous network expansion and a diversified digital ecosystem**. The company's sustained investments in **5G, fibre infrastructure, data centres, cloud services and enterprise solutions** have strengthened its competitive position while creating multiple long-term growth drivers. Airtel's strategy of focusing on premium customers, improving ARPU and expanding digital services provides a strong foundation for sustainable revenue growth.

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